

FOR A GOVERNMENT THAT HAD no luck with its disinvestment plans, two events changed the unhappy course towards more positive tidings. In October 2021, the Tata Group made a winning bid to acquire Air India, offering Rs 18,000 crore as the enterprise value for the airline. In May 2022, the Life Insurance Corporation of India (LIC) came forward with its Rs 21,000 crore initial public offering (IPO), the largest to date on the Indian bourses.

The Tatas acquired Rs 15,300 crore of Air India's debt and will pay the remaining Rs 2,700 crore in cash to the government. The deal fructified at a time most economies had opened up after a debilitating pandemic. Air India had accumulated losses of Rs 70,820 crore as of March 31, 2020. Its debt stood at Rs 61,562 crore on August 31 that year. "Air India's privatisation is a game changer. We have two principal players now—Air India and IndiGo—with over 85 per cent market share in domestic traffic, and well capitalised," Amber Dubey, senior advisor, McKinsey & Company, said at an INDIA TODAY conclave in November 2023. Domestic air passenger traffic rose by 4.7 per cent year-on-year in January 2024 to 13 million. In June 2023, Air India signed pacts to buy 470 new planes from Airbus and Boeing for an estimated $70 billion (Rs 5.8 lakh crore).

₹18,000 CRORE
Tata Group's winning bid for Air India sale

₹61,562 CRORE
Air India's debt as on August 31, 2020

₹21,000 CRORE
Size of the LIC initial public offering

₹5.75 LAKH CRORE
LIC's market cap on Jan. 17, 2024, when it became India's most valued firm for a brief period

LIC GOES PUBLIC

After delaying disinvestment in LIC for years, the Centre sold its 3.5 per cent stake in the insurance behemoth in an IPO that was worth Rs 21,000 crore. LIC manages Rs 45.5 lakh crore in total assets and 277 million individual policies. On January 17, less than two years after its debut on the stock exchanges, LIC became India's most valued company in the public sector with a market capitalisation of over Rs 5.75 lakh crore. On that day, LIC shares crossed its listing day price of Rs 904 for the first time.

However, other big divestment plans such as those of IDBI Bank, Bharat Petroleum Corporation, Container Corporation of India, Pawan Hans and Shipping Corporation of India are still hanging fire. Analysts expect the government to miss the target of Rs 61,000 crore for FY24 by Rs 20,000-30,000 crore. "There are challenges in implementation. The government could not go beyond LIC. By now, all the low-hanging fruit has already been plucked," says Madan Sabnavis, chief economist at the Bank of Baroda. The incoming government has its task cut out. ■

the National Monetisation Pipeline, which would allow the private sector to operate key infrastructure projects for 15-30 years or more. Asset monetisation, where government-owned assets are long-leased to private parties to operate them for an upfront fee, was an obvious 'low-hanging fruit' and perceived to be easier to implement than any outright asset sale or privatisation. The idea was to raise Rs 6 lakh crore over the next four years (FY22-25) to fund the government's ambitious infrastructure plans, bridge its yawning deficit and revive private investment. Fourteen sectors, including roads, railways, power transmission, natural gas pipelines, telecom, warehousing, mining, aviation and ports, were identified for this. In FY22, assets worth Rs 88,000 crore were monetised, but in FY23, it was only Rs 26,000 crore against the target of Rs 1.6 lakh crore, according to NITI Aayog. "In many cases, it seems not enough thought has gone into how the monetisation process would be implemented," says Madan Sabnavis, chief economist with Bank of Baroda. "Many projects involve criss-crossing involvement of several agencies, so untangling them would not be easy."

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> ***–MADAN SABNAVIS,*** *Chief Economist, Bank of Baroda*

A recent media report citing a senior government official said the ministry of road transport and highways had raised Rs 40,314 crore through various modes of asset monetisation in FY24 against the target of Rs 28,968 crore. The National Highways Authority of India's total asset monetisation programme, he added, had crossed Rs 1 lakh crore. To meet the overall target, though, speed will be of the essence. ■

-M.G. Arun

₹6 lakh CRORE
Aggregate monetisation potential of the Centre's brownfield infra assets over four years, as per the plan

₹1.14 lakh CRORE
Value of assets monetised in FY22 and FY23, 19 per cent of the total targeted

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Sectors identified for monetisation, including roads, railways, power transmission, natural gas pipelines, telecom, aviation and ports